The Cost Challenge

The price of Rs 1 lakh for a car seemed ludicrously low to most. Frugal engineering has its limits. But Ratan never took his eyes off this goal; it was key to the fulfilment of his dream. Yet, most people did not believe he could do it.

Maruti Suzuki's chairman, Osamu Suzuki, for one, seemed sceptical. In a rather tongue-in-cheek fashion, he asked whether the cost of Rs 1 lakh referred to the cost of parts, the cost to the manufacturer or the cost to the consumer. He is also said to have stated, 'Tata will not be able to make a one lakh car.'

The cost challenge had to be navigated with precision and imagination. The cheapest car at the time, the Maruti 800, was selling at almost twice the expected price of the Nano. Virtually everything had to be reinvented to keep the costs lower than what was considered possible thus far. Instead of metal, the possibility of using plastic as an alternative for the car body was considered. This was not a first: the body of the first Chevrolet Corvette, which has been in production for sixty years uninterruptedly, was built of glass-reinforced plastic (fibreglass). But because of the lack of availability of the raw materials, the idea was shelved for the Nano. Further, in India, especially when it comes to a car for the middle class, the touch-and-feel factor is important.

Choosing the Location

In 2005, Tata Motors began its search for a suitable site to build the Nano. Connectivity, proximity to existing auto clusters, labour availability, infrastructural development, state taxes and incentives were the major considerations. In July of the year, V. Sumantran was entrusted with the task of shortlisting possible sites for the Nano factory. He made a strong pitch to Ratan for a location in the states of Karnataka, Himachal Pradesh, Uttaranchal (now Uttarakhand) or Uttar Pradesh.

By November 2005, Ravi Kant shortlisted some more sites. He accorded higher priority to logistic and 'capacity-location'. He communicated to Ratan that the choice of the site could be Maharashtra, Dharwad in Karnataka, Tamil Nadu, the National Capital Region (NCR) or West